The Bill for Intelligence

It was just after seven in Kuala Lumpur, and the hawker stall was already louder than my thoughts. I had come down for kopi and roti bakar, nothing more ambitious than that. But my phone had other plans. Before the coffee arrived, three separate alerts had landed on the screen: another hyperscaler raising its capital spending forecast, another chip order measured in the tens of thousands, another data center breaking ground somewhere in the desert.

Nobody at the next table looked up. The uncle beside me was deep in the sports pages. Life went on as usual. But I sat there doing the only math that seemed to matter that morning: who is paying for all of this?

That is the question nobody in the AI trade wants to linger on for too long.

Every week brings a new announcement, each one bigger than the last. A new cluster here, a new campus there, a new partnership with a power company to keep the lights on. The numbers have stopped sounding like numbers. When a company says it will spend [VERIFY: latest capex figure and source] building infrastructure for models that mostly answer questions and write emails, the market nods along as if this were the most natural thing in the world.

Maybe it is. Maybe this is simply what a technological revolution looks like from the inside: messy, expensive, and completely convinced of itself.

But bills have a habit of arriving.

The first place the bill lands is on the balance sheet. Training a frontier model already costs [VERIFY: latest reported training cost and source], and the next generation is expected to cost several times more. The companies writing those checks are funding them with a mix of operating cash flow, debt, and shareholder dilution. For now, investors are happy to play along. Growth covers a multitude of sins, and the story is still selling.

The second place the bill lands is on the power grid. A single large data center can draw as much electricity as a small city [VERIFY: representative figure and source]. Utility companies are now planning capacity the way they used to plan for new suburbs, except the suburbs at least paid property tax. Somebody has to build the turbines and string the transmission lines, and that somebody sends an invoice eventually.

The third place is the most interesting one, because it is invisible. Every query you run, every image you generate, every document you summarize costs a fraction of a cent in compute [VERIFY: representative inference cost and source]. Fractions of cents, multiplied by billions of queries, become

real money fast. The companies are absorbing that cost today to win your habit. Habits, once formed, get priced.

I am not writing this to say the buildout is a mistake. The demand is real. Businesses are genuinely using these systems to do work that used to take teams of people. The railways were overbuilt too, and the railways still changed everything. The fiber bubble of 2000 laid the cables that carried the entire internet age. Overbuilding is often how the future gets funded: by optimists spending money that pessimists would have saved.

But there is a difference between funding the future and assuming someone else picks up the tab.

Right now the tab is being split four ways. Shareholders pay through dilution and multiple compression when growth hiccups. Customers will pay when the free tiers tighten and the enterprise contracts reprice. Taxpayers pay through the subsidies and tax breaks being handed to data center projects [VERIFY: example and source]. And everyone pays a little through an energy system being rebuilt at speed.

None of this means the AI story is false. It means the AI story has a cost section that keeps getting skipped in the telling.

The most honest sentence in technology right now would be this: intelligence turns out to be heavy. For years it was sold as the weightless business. No factories, no inventory, no

marginal cost. Just code, scaling forever. That was the pitch, and for software it was mostly true.

It is not true anymore. Intelligence now has a supply chain. It has concrete, copper, cooling water, and a queue for transformers. It has construction crews and environmental reviews. The cloud was supposed to be a metaphor. Now it is real estate.

So the next time an announcement crosses your screen about the largest training cluster ever built, read past the adjective. Ask the boring question. Follow the money past the press release and see whose pocket it comes out of. The answer will not be as exciting as the headline, but it will tell you more about where this industry is actually going.

The future is being built. Somebody is paying for it. It might as well be an informed somebody.